

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester II Examination, 2021-22

Paper No. BCF-123: Fundamental of Accounting

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Why is a distinction made between capital and revenue expenditure? Explain by taking an imaginary illustration. [14]

OR

On April 1, 2021, A started business with £1,000,000 (read as Rupees) and other transactions for the month are as follows:

April 2: Purchased furniture for cash £7,000.

April 8: Purchased goods for cash £2,000 and on credit £1,000 from K Retail Store.

April 14: Sold goods to Khan Brothers £12,000 and cash sales £5,000.

April 18: Owner withdrew goods worth £2,000 for personal use.

April 22: Paid K Retail Store £500.

April 26: Received £10,000 from Khan Brothers.

April 27: Gave away charity of cash £50 and merchandising (goods) worth £30.

April 28: Bad debts during the period were £100.

April 29: Payment made to creditors to the value of £20,000 at 10 percent discount.

April 30: Wages paid £1,200 (including £200 relating to a future year).

Pass the Journal Entries in the books of A.

[14]

Question 2. The Trial Balance of a business as at 31st March, 2021 is given below:

Debit Balances	Amount (£)	Credit Balances	Amount (£)
Stock (1 April, 2020)	25,000	Sales	2,27,800
Furniture	8,000	Commission	500
Plant and Machinery	1,50,000	Returns Outward	1,000
Debtors	30,000	Creditors	40,000
Wages	12,000	Capital	1,50,000
Salaries	20,000		
Bad Debts	1,000		
Purchases	1,20,000		
Electricity Charges	1,200		
Telephone Charges	2,400		
General Expenses	3,000		
Postage Expenses	1,800		
Returns Inward	900		
Insurance Premium	1,500		
Cash in Hand	2,500		
Cash at Bank	40,000		
Total	4,19,300	Total	4,19,300

Adjustments:

- Closing stock was valued at £7,000.
- Outstanding liabilities for wages were £600 and salaries £1,400.
- Depreciation is to be provided @ 5% p.a. on all fixed assets.
- Included in plant and machinery is a machine purchased for £10,000 on 1st October, 2020.
- Insurance premium paid in advance was £200.

Prepare Trading and Profit & Loss Account for the year ended 31st March, 2021 and a Balance Sheet as at that date. [14]

OR

What is a Bank Reconciliation Statement? Explain the reasons where the balance shown by the Bank Pass Book does not agree with the balance as shown by the bank column of the Cash Book. [14]

Question 3.

- (a) Radha and Rukmani are partners in a firm sharing profits in the ratio of 3:2. They admitted Gopi as a new partner. Radha surrendered $\frac{1}{3}$ of her share in favour of Gopi and Rukmani surrendered $\frac{1}{4}$ of her share in favour of Gopi. Calculate the new profit sharing ratio. [5]
- (b) A and B are partners in a firm sharing profits and losses in the ratio of 3:2. They decided to admit C into partnership with a $\frac{1}{4}$ share in profits. C will bring in £50,000 as his capital and the requisite amount of goodwill premium in cash. The goodwill of the firm is valued at £1,20,000. The new profit sharing ratio is agreed to be 5:4:1. A and B withdrew their share of goodwill. Give the necessary journal entries. [9]

OR

Elaborate the term 'Goodwill'. Explain the methods of valuation of goodwill with illustration. [14]

Question 4. Given below is the Balance Sheet of A and B, who are carrying on a partnership business as on 31.12.2021. A and B share profits and losses in the ratio of 2:1:

Liabilities	Amount (£)	Assets	Amount (£)
Bills Payable	10,000	Cash in Hand	10,000
Creditors	58,000	Cash at Bank	40,000
Outstanding Expenses	2,000	Sundry Debtors	60,000
Capital Accounts:		Stock	40,000
A	1,80,000	Plant	1,00,000
B	1,50,000	Building	1,50,000
Total	4,00,000	Total	4,00,000

C is admitted as a partner on the date of the Balance Sheet on the following terms:

- (a) C will bring in £1,00,000 as his capital and £60,000 as his share of goodwill for a $\frac{1}{4}$ share in the profits.
- (b) Plant is to be appreciated to £1,20,000 and the value of buildings is to be appreciated by 10%.
- (c) Stock is found over-valued by £4,000.
- (d) A provision for bad and doubtful debts is to be created at 5% of debtors.
- (e) Creditors were unrecorded to the extent of £1,000.

Prepare the Revaluation Account, Partners' Capital Accounts, and show the Balance Sheet after the admission of C. [14]

OR

Do you advise that assets and liabilities must be revalued at the time of admission of a partner? If so, why? Also describe how this is treated in the books of accounts. [14]

Question 5. How is the Joint Life Insurance Policy recorded in the books of a partnership firm at the time of retirement of a partner? Discuss the alternative methods. [14]

OR

Dhaval, Kamal, and Naval are partners sharing profits and losses in the ratio of 2:2:1. Naval retires on 31.03.2021. The Balance Sheet of the firm as on 31.03.2021 was as under:

Liabilities	Amount (£)	Assets	Amount (£)
Capital Accounts:		Goodwill	10,000
Dhaval	30,000	Machinery	20,000
Kamal	20,000	Investment	10,000
Naval	10,000	Debtors	30,000
General Reserve	5,000	Stock	10,000
Investment Fluctuation Fund	2,500	Cash at Bank	5,000
Bad Debts Reserve	2,000		
Creditors	15,500		
Total	85,000	Total	85,000

The following adjustments are agreed upon at the time of retirement:

- The value of machinery will be £25,000 and the value of stock is £5,000.
- The value of investments is £8,000, which is taken by Naval at this price.
- An amount of £5,000 included in creditors is no longer payable.
- The provision for workmen compensation is to be created at £2,000.
- The provision for doubtful debts is to be kept at 10% on debtors.
- The goodwill of the firm is valued at £40,000.

Prepare the Revaluation Account, Partners' Capital Accounts, and the Balance Sheet of the firm after Naval's retirement. [14]